

# LECTURE: ##19 Date

Sales and marketing: How to talk to investors (Tyler Boorman)

\* You will find out the ways that are going to help you out with the sales.

\* The reality is that it's you as a founder who was doing the sales. As a founder you are going to be having unique advantages:

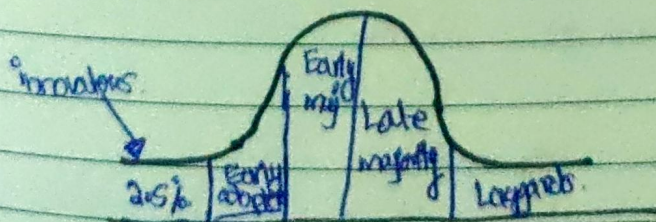
- 1) Your passion for the product.
- 2) Your industry knowledge.

## \* THE ALMIGHTY FUNNEL

1. Prospecting
2. Conversations
3. Closing
4. Revenue / Promised Land.

## THE MISSION

- Find the innovations (2.5%)
- It's a number game!
- Reach out to 7100 companies.
- Top 3 methods:
  - Your network / conferences / cold email.



\* You have got to go where the users are and every minute spent was well met.



## COLD EMAIL TEMPLATE

Date \_\_\_\_\_

John - my name is Tyler and I'm the CEO of Clever. My company has developed new technology that reduces the time spent doing GIS integration by 80%. I figured this might be of interest to you, given the new middle school reading software Scholastic just released. I'd love to get your feedback even if you're not into the market for this right now. Do you have 20 minutes this week? It looks like I'm open Tuesday at 1 or 2 pm ET if either may work.

1. Once you get on the phone remember to talk less and allow them to talk more with you. Finding and understanding their problem.

\* Work on getting a religious follow-up.

### Closing Traps: Redlines

- The final step is to send them an agreement.
- K has open carried their template.
- Don't quibble over minor points.

### Closing Traps: 1 more Feature.

- Usually a polite pass.
- Building it will not get you the sale.

Either:

- sign a conditional agreement, or
- wait to hear demand from more customers.

### CLOSING TRAPS: FREE TRIALS

- Early on you need commitment, validation and revenue.



\* "Freemial" gets you none of these.

\* Instead, offer a 30 day cancellation period on a non-refund contract.

## LOOKING FORWARD

\* 5 ways to build a big business

\* Alloy/ Mba/ Rabbits - marketing

\* Deer - Inside Gates.

\* Elephant - Field Gates.

Prethink about your  
credibility if you are  
going to be selling at  
low prices.

## Improving your pitch:

\* In order to improve your pitch better, you just need to improve your company.

## BEFORE THE MEETING.

⇒ They don't know how to explain what you are doing and then ask you about your money.

⇒ Just talk less.

## \* 30 second pitch.

\* What does your company do?

\* How big is the market?

\* How much traction do you have?

## \* 2 minute pitch.

\* Unique insight (A-HA MOMENT AND WHY YOU GONNA WILL MAKE)

\* How you make money.

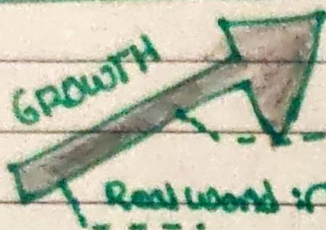
\* Team.

\* The Big Ask (\$\$)



\* Much better to be clear and concise.

## WHEN TO FUNDRAISE



\* Create a scenario where you are strong and your investors are weak.

\* If the investors are asking you to give money, then you're strong.

\* Always plan for needing less money and show that you have got a fully committed team that's working fast.

## HOW TO SETUP INVESTORS MEETINGS

Warm  
Intro

Think  
Parallel

A Team  
Member

## DEMONSTRATION OF AN INVESTORS MEETING

\* Make sure the listener understands what you're working on.

\* Know your numbers!

\* For market size ideally build bottom-up analysis.

\* You should understand something that is counter intuitive.

\* Your team should be uniquely suited for this business.



## Hallmarks of a good pitch.

- \* Capture interest, tell an interesting story, engage with the listener.
- \* Demonstrate insights and command of the market, ~~possess~~ not domineering.
- \* Collaborative meeting more than an Interrogation.
- \* Actually ask for money.

## After the meeting

- \* Follow up (anything by check is a "No")
- \* Work on creating deal heat (supply/demand).
- \* Do diligence on the investors.
- \* Know when to stop (addicted to fundraising)
- \* Build your company (Fundraising is not the goal)